

SUBCONTRACT AGREEMENT MG/SC/2026/017 (EXTRACT)

Main Contractor: Maradel Gulf Contracting W.L.L. (fictional)

Subcontractor: Vexley Trenchless Services (fictional)

Works: Horizontal directional drilling and open-cut installation of ducts and 132 kV cable, Sector 7 to Sector 12

Extract for a video demonstration. Fictional contract, fictional parties. Not drawn from any real agreement.

Part A: Particular Conditions (relevant clauses only)

PC 1. Commencement and Time for Completion

1.1 Subcontract Commencement Date: 02 March 2026.

1.2 Time for Completion: 60 calendar days from the Commencement Date.

1.3 Delay Damages: SAR 15,000 per day, capped at 10 % of the Subcontract Price.

PC 4. Main Contractor's Obligations

4.1 The Main Contractor shall obtain all road, highway, wadi and utility crossing permits from the relevant authorities and shall deliver each permit to the Subcontractor not later than 7 days before the planned start of the crossing shown in the Approved Programme.

4.2 The Main Contractor shall give the Subcontractor access to each section of the Site free of third-party obstruction not later than the access date in the Approved Programme.

4.3 Free-issue materials listed in Schedule 3 (including all 132 kV XLPE cable drums) shall be delivered to Site by the Main Contractor on the dates in the Approved Programme, or within 14 days of the Subcontractor's written request, whichever is later.

PC 7. Subcontractor's Obligations

7.1 The Subcontractor shall submit a Daily Progress Report to the Main Contractor by 20:00 each day, recording manpower, equipment, work executed, materials, delays and constraints.

7.2 The Subcontractor shall notify the Main Contractor of any site condition that differs from the Geotechnical Report (Schedule 5) within 2 days of encountering it, and shall not proceed with a changed method without the Main Contractor's written instruction.

PC 9. Notices of Delay and Claims

9.1 If the Subcontractor considers itself entitled to an extension of the Time for Completion or to additional payment, the Subcontractor shall give notice to the Main Contractor describing the event or circumstance **not later than 7 days after the Subcontractor became aware, or should have become aware, of the event or circumstance.**

9.2 If the Subcontractor fails to give notice within the period in 9.1, the Time for Completion shall not be extended, the Subcontractor shall not be entitled to additional payment, and the Main Contractor shall be discharged from all liability in connection with the event.

9.3 Within 28 days after the notice under 9.1, the Subcontractor shall submit a fully detailed claim with supporting particulars, including contemporary records.

9.4 A notice under 9.1 shall be in writing, delivered to the Main Contractor's Site Manager, and shall state that it is a notice under this Clause 9. An entry in a Daily Progress Report is not a notice under this Clause.

PC 10. Standby

10.1 Where the Subcontractor's drilling rig is prevented from working by an event for which the Main Contractor is responsible under Clause 4, standby shall be paid at the rates in Schedule 4 from the first full day of standby, subject to Clause 9.

PC 12. Variations

12.1 The Main Contractor may instruct a Variation in writing. The Subcontractor shall not execute varied work without a written instruction.

12.2 Ground conditions differing materially from the Geotechnical Report, and notified under Clause 7.2, shall be treated as a Variation.

PC 14. Weather

14.1 No extension of time shall be granted for weather unless the Site is unworkable for a full day and this is recorded in the Daily Progress Report and confirmed by the Main Contractor's representative on the same day.

PC 16. Contemporary Records

16.1 The Subcontractor shall keep contemporary records of every event that may give rise to a claim and shall make them available to the Main Contractor on request. Daily Progress Reports accepted without comment by the Main Contractor within 3 days of receipt are deemed an agreed record of the facts stated in them.

Part B: Schedule 2, Division of Responsibility (extract)

Ref	Activity	Main Contractor	Subcontractor
R-1	Approved Programme (baseline and updates)	Approve	Prepare
R-2	Highway and road crossing permits	Obtain and deliver	Request 14 days ahead
R-3	Wadi crossing environmental permit	Obtain and deliver	Comply
R-4	Third-party land access along route	Secure	Notify obstruction
R-5	Geotechnical investigation	Provide report	Rely on and notify differences
R-6	132 kV cable drums, joints, terminations	Supply free issue	Off-load, store, install
R-7	HDPE ducts, bentonite, bedding sand, tiles		Supply
R-8	HDD rigs, mud system, crane, excavators		Supply and operate
R-9	Traffic management at highway crossings	Provide	Comply
R-10	HSE plan, permits to work, toolbox talks	Approve	Prepare and operate

Part C: Schedule 4, Standby Rates (extract)

Item	Rate per day
HDD Rig 250 t with crew and mud system	SAR 28,000
HDD Rig 100 t with crew and mud system	SAR 16,000
Crane 50 t with operator	SAR 3,500
Cable pulling crew (6 persons)	SAR 4,800

All rates and figures are invented for the demonstration.